

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DOA

Date: 5/20/2026

Bill Number: HB133

Short Title (as it appears on BASIS): PAYMENT OF CONTRACTS

What action do you recommend the Governor take?

Select one.

☐ SIGN ☐ VETO ☒ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

Recommend the Governor allow HB 133 to become law without signature (LWOS). The bill establishes clear statewide standards for timely payment of contractors, nonprofit organizations, municipalities, and Alaska Native organizations that perform under state contracts, grants, and reimbursement agreements. Allowing the bill to become law without signature recognizes the policy objective of improving payment timeliness and transparency, while also acknowledging the significant operational and system implementation considerations for state agencies. The phased implementation dates provide agencies time to update business processes before the 45-day standard takes effect on July 1, 2027, and before the 30-day standard takes effect on July 1, 2028.

The Department of Administration notes implementation considerations. The bill affects the central accounting system, the state financial transactions Internet website, procurement and payment workflows, and agency reporting. Interest costs are indeterminate because they depend on future late payments and the amount of unpaid obligations subject to interest. Agencies will also need to consistently capture payment-request receipt dates, payment due dates, reasons for

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withholding or delay, and the length of delays. DOA will not be able to retroactively provide invoice receive dates when those dates were not captured at the time the invoice or payment request was received.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

HB 133 creates statutory payment deadlines for state agencies. Beginning July 1, 2027, agencies must pay contractors for satisfactory performance within 45 calendar days after receipt of a compliant payment request. Beginning July 1, 2028, that deadline is reduced to 30 calendar days. If payment is late, the agency must pay interest at the rate established in AS 45.45.010(a). If payment is withheld because performance is unsatisfactory or the payment request does not comply with the contract, the agency must provide written notice within eight working days explaining the reason for withholding and what remedial actions are required. Similar requirements apply to grants and reimbursement agreements with nonprofit organizations, municipalities, and Alaska Native organizations, including federally funded agreements where the payment deadline runs from the later of receipt of a compliant payment request or receipt of federal funds.

The bill is intended to address a long-standing lack of payment parity for nonprofits, municipalities, Alaska Native organizations, and certain contractors that deliver services or projects for the State of Alaska. Delayed payments can create cash-flow problems, disrupt services, increase administrative burdens, affect payroll and vendor payments, and increase costs for state partners. For the Department of Administration, the bill changes central accounting and transparency requirements by requiring the state financial transactions Internet website to identify certain payments made 30 or more days after the payment due date and payments owed that are 30 or more days past due. It also requires agencies to report to the legislature on late payments made during 2026, including the number of late payments, reasons for delay, and length of delay. The bill aligns with priorities of improving government accountability, transparency, fiscal discipline, and reliable service delivery, provided agencies implement the necessary process and system controls.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1: Adds AS 36.30.970 to the State Procurement Code. Requires an agency to pay a contractor for satisfactory contract performance within 45 calendar days after receipt of a compliant payment request. Requires interest on unpaid amounts beginning on the 46th calendar

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day. Requires written notice within eight working days if payment is withheld due to unsatisfactory performance or a noncompliant payment request; if notice is not timely or compliant, interest accrues on the withheld amount until compliant notice is provided. Requires payment of withheld amounts within 45 calendar days after remedial actions are satisfactorily completed. Excludes retainage, public construction or public works contracts subject to AS 36.90.200, agreements subject to AS 36.90.310, and the Department of Military and Veterans' Affairs division responsible for homeland security and emergency management, although that division must make reasonable efforts to comply.

Section 2: Amends AS 36.30.970(a), enacted by Section 1, to reduce the contractor payment deadline from 45 calendar days to 30 calendar days.

Section 3: Amends AS 36.30.970(b), enacted by Section 1, to begin interest on late contractor payments on the 31st calendar day rather than the 46th calendar day.

Section 4: Amends AS 36.30.970(e), enacted by Section 1, to require payment of withheld contractor amounts within 30 calendar days after satisfactory completion of remedial actions and to begin interest after the 30th calendar day.

Section 5: Adds AS 36.90.310 for grants and reimbursement agreements to nonprofit organizations, municipalities, and Alaska Native organizations. Requires payment within 45 calendar days after receipt of a compliant payment request, or, for payments made with federal funds, within 45 calendar days after receipt of the compliant payment request or receipt of federal funds, whichever is later. Requires interest for late payments. Requires written notice within eight working days if payment is withheld due to unsatisfactory performance or a noncompliant payment request. Requires payment of withheld amounts within 45 calendar days after satisfactory completion of remedial actions. Excludes the Department of Military and Veterans' Affairs division responsible for homeland security and emergency management, although that division must make reasonable efforts to comply. Defines "agency," "Alaska Native organization," "grant," and "nonprofit organization."

Section 6: Amends AS 36.90.310(a), enacted by Section 5, to reduce the grant or reimbursement agreement payment deadline from 45 calendar days to 30 calendar days, including the applicable federal-funds timing rule.

Section 7: Amends AS 36.90.310(b), enacted by Section 5, to begin interest on late grant or reimbursement agreement payments on the 30th calendar day after receipt of a compliant payment request or, for federal funds, on the 30th calendar day after receipt of federal funds, whichever is later.

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Section 8: Amends AS 36.90.310(e), enacted by Section 5, to require payment of withheld grant or reimbursement agreement amounts within 30 calendar days after satisfactory completion of remedial actions and to begin interest after the 30th calendar day.

Section 9: Amends AS 37.05.215(a), governing the state financial transactions Internet website, to require reporting for each covered contract, grant, or reimbursement agreement payment on whether the payment was made 30 or more days after the payment due date. Also requires the website to include payments owed to covered persons or entities that are 30 or more days past due.

Section 10: Amends AS 37.05.215(b) to require the new past-due payment information to be updated monthly and retained on the website consistent with the statute.

Section 11: Adds an uncodified reporting requirement. Each agency must provide a report to the legislature by the first day of the First Regular Session of the Thirty-Fifth Alaska State Legislature detailing the number of late payments made during 2026 to covered contractors, nonprofit organizations, municipalities, and Alaska Native organizations; the reasons payments were late; and the length of the delays.

Section 12: Provides an immediate effective date for Section 11.

Section 13: Provides a July 1, 2027 effective date for Sections 1 and 5, establishing the initial 45-day payment deadlines.

Section 14: Provides a July 1, 2028 effective date for Sections 2 - 4 and 6 - 8, reducing the payment deadlines to 30 days.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

Companion legislation: SB 129, PAYMENT OF CONTRACTS, sponsored by Senators Kawasaki, Tobin, Giessel, and Gray-Jackson. SB 129 contained substantially similar prompt-payment provisions for contracts, grants, and reimbursement agreements.

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Support/Opposition of the Bill

Please identify names, organizations, titles, and phone numbers of those who testified in support or in opposition of this bill.

Support: Public record materials and committee minutes reflect broad support from nonprofit, municipal, Alaska Native, health, aging, child care, and private contractor stakeholders. Identified supporters include: Laurie Wolf, President/CEO, The Foraker Group, (907) 243-1200; Nils Andreassen, Executive Director, Alaska Municipal League, (907) 586-1325; Carole Triem, Government Affairs Manager, Alaska Municipal League, phone not listed in committee minutes; Stephanie Berglund, CEO, thread Alaska, phone not listed in committee materials reviewed; Trevor J. Storrs, President & CEO, Alaska Children's Trust, (907) 248-7676; Sam Chanar, City of Toksook Bay, (907) 427-7613; Alvin D. Osterback, Mayor, Aleutians East Borough, Anchorage office (907) 274-7555, King Cove office (907) 497-2588, Sand Point office (907) 383-2699; Lisa D.H. Aquino, MHS, Chief Executive Officer, Anchorage Neighborhood Health Center, phone not listed in committee packet text reviewed; Elizabeth Ripley, President and CEO, Mat-Su Health Foundation, phone not listed in committee packet text reviewed; Eric Billingsley, President and CEO, United Way of Anchorage, (907) 743-1200; Sander Schijvens, President & CEO, Wostmann & Associates, Inc., (907) 586-6167; and Bob Sivertsen, Chair, Alaska Commission on Aging, phone not listed in committee packet text reviewed.

Opposition: No organized opposition testimony was identified in the BASIS materials reviewed. Some committee members raised implementation, interest-cost, and fiscal-note questions, including how late-payment interest would be paid and whether agencies could implement the requirements without additional costs.

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

No bill signing ceremony is recommended if the Governor allows HB 133 to become law without signature. If the Governor's Office nevertheless wants to publicly acknowledge the policy issue, a separate stakeholder communication or implementation-focused announcement could highlight timely payment, government accountability, and support for community service partners without holding a signing event.

Commissioner's Signature: Paula Vrana Date: 5/20/2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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